

Charter of the Featured App Accountability Committee

Objectives and Areas of Authority of the Featured App Accountability Committee (FAAC)

- Purpose
 - Enforce guidance and agreements entered into by the network with its Featured Apps (FA) to ensure the wellbeing of the Canton Network
- Scope
 - Determine whether Featured Applications are in compliance with official guidance, and recommend to the Tokenomics Committee to initiate votes to suspend, reinstate, or take other action as appropriate
 - Proactively make recommendations to the Tokenomics Committee on how to improve Featured App Guidelines
 - Take action to ensure FA Guideline compliance
 - Adopt recusal rules, privacy guidelines, confidentiality requirements, evidentiary rules, etc., as necessary and proper to achieve its objectives

Membership and Roles

- The FAAC will consist of:
 - Five regular voting members.
 - Two alternate voting members.
- Voting members and alternate voting members will be elected by the voting members of the Tokenomics Committee, subject to any applicable Canton Foundation governance requirements.
- Nominees must be representatives of any Canton Foundation member organization. Nominees may self-nominate or may be nominated by another representative of a Canton Foundation member organization, provided the nominee accepts the nomination before being included in the election.
- Tokenomics Committee voting representatives may not serve as voting members or alternate voting members of the Accountability Committee.
- The Tokenomics Committee will select the Chair by vote from among the elected FAAC voting members. The Chair should be from a Canton Foundation Premier Member organization unless otherwise approved by the Tokenomics Committee. The Chair is not required to be a Canton Foundation Board member.
- The Chair, or a rotating facilitator designated by the Committee, will lead meetings, manage agendas, and track follow-ups.

Alternates

- Alternate voting members are assigned a priority order at the time they are elected.
- Alternate FAAC members may attend all FAAC meetings regardless of whether a voting member(s) is absent
- The priority order determines which alternate may vote when a regular voting member is absent or recused.
- If fewer than five regular voting members are present, alternate voting members may vote up to the number of absent regular voting members, selected in priority order.
- If a regular voting member or selected alternate voting member abstains from a vote, that member is still considered present, and the abstention does not trigger an additional alternate to vote.
- If a regular voting member is recused, an alternate voting member, if available, may participate in the vote in that member's place.

Observers and Guests

- General participants, observers, legal counsel, subject matter experts, Foundation staff, or other guests may attend FAAC meetings as permitted by the committee Chair
- Participation as an observer or guest does not confer voting rights.
- The FAAC may enter closed sessions where necessary to discuss confidential, sensitive, privileged, or participant-specific compliance matters. Only voting [and alternate?] members of the FAAC may be present during a closed session.

Meetings

- The FAAC will hold regular standing meetings as determined by the FAAC.
- Additional meetings may be scheduled by the Chair as needed for urgent reviews or time-sensitive matters.
- Meeting agendas should be circulated in advance where practical.
- Actions of the FAAC should generally proceed through:
 - Proposal by a FAAC member as an agenda item for an upcoming meeting.
 - Discussion of the topic in a FAAC meeting.
 - Vote or documented consensus, as applicable.
- Topics may be discussed informally before a meeting, but decisions should be documented through the FAAC's formal process.
- Minutes of meetings shall be kept and shared with the Foundation Board of Directors
- Meeting attendees, except for the minute taker, may not make recordings or use AI bots, transcribers, or minute takers, and meeting shall otherwise comply with the Canton Foundation AI Policy

Decision-Making

- The FAAC will strive for consensus where practical.
- If consensus is not possible, decisions will be made by majority vote of the present voting members with a minimum of 3.
- A quorum of at least three regular or alternate voting members must be present and non-recused for decisions to be made.
- If recusals prevent the FAAC from reaching quorum or otherwise make a decision impossible within a reasonable period of time, such as 30 days, the matter must be presented to the Canton Foundation Board or another appropriate governing body for resolution.
- All recommendations and decisions must be documented and shared with the appropriate governance body.

Asynchronous Votes

- Asynchronous votes may be requested by any voting member but require the approval of the Chair.
- An asynchronous vote will conclude when sufficient votes are collected from eligible voting members to reach a majority, or at the ten day deadline specified when the vote is opened.
- Alternate voting members may vote asynchronously only if:
 - A regular voting member is recused.
 - A regular voting member is absent or unavailable for the entire time period of the asynchronous vote and the alternate is selected in priority order.
 - There are fewer than five regular voting members serving on the FAAC due to resignation, removal, vacancy, or other inability to serve.
- The result of any asynchronous vote must be documented and reported to the FAAC.

Conflicts, Recusal, and Confidentiality

- FAAC members and alternates must disclose actual or potential conflicts of interest before deliberations.
- A conflicted member must recuse themselves from discussion and voting where required by the FAAC's recusal rules.
- With the approval of the Board the FAAC may adopt additional recusal rules, privacy guidelines, confidentiality requirements, evidentiary standards, and procedures as necessary to carry out its responsibilities.
- Confidential or sensitive information received by the FAAC must be handled in accordance with applicable Canton Foundation policies and any FAAC procedures adopted for that purpose.
- All activities of the FAAC shall comply with the terms of the Canton Foundation Antitrust Policy and Checklist.

Accountability and Transparency

- The FAAC will document all recommendations, decisions, votes, recusals, and material conflict disclosures.
- Recommendations should include the basis for the recommendation, the applicable guidance or requirement, and any relevant evidence or supporting analysis.
- The FAAC will share recommendations with the Tokenomics FAAC, the Canton Foundation Board, or another applicable committee or governing body as appropriate.
- The FAAC should maintain enough transparency to support confidence in the enforcement process while protecting confidential, sensitive, privileged, or participant-specific information.

Working Groups

- The FAAC may form standing or ad hoc subordinate working groups to undertake work or make recommendations to the FAAC.
- Working groups do not have independent decision-making authority unless expressly delegated by the FAAC and permitted under applicable governance requirements.
- Any working group recommendation must be reviewed and approved by the FAAC before being treated as a FAAC recommendation.

Amendment

- This Charter may be amended by the Tokenomics, subject to Board approval.